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6.5.2 Trade discount

Trade discount is a deduction given by the supplier to the buyer on the list price or catalogue price of the goods. It is given as a trade practice or when goods are purchased in large quantities. It is shown as a deduction in the invoice. Trade discount is not recorded in the books of accounts. Only the net amount is recorded. Example: Suppose the sale of goods for `10,000 was made and 10% was allowed as trade discount, the entry regarding sales will be made for ` 9,000 (10,000 – 10 per cent of 10,000). In the same way, purchaser of goods will also record purchases as ` 9,000).



Student activity

Think: Is trade discount the same as cash discount?

Illustration 1

Record the following transactions in the purchases book of Shanthi Furniture Mart:

2017	
March 1	Purchased from Mohan Furniture Mart, Madurai
	20 chairs @ ` 450 each
	2 tables @ ` 1,000 each
	Less: Trade discount @ 10%
March 7	Bought from Ramesh & Co., Royapettah
	2 stools @ ` 500 each
	10 rolling chairs @ ` 200 each
	Delivery charges and cartage ` 150
March 21	Purchased from Kamal & Co., Karaikkal
	10 chairs @ ` 750 each
	15 steel cabinets @ ` 1,500 each
	Packing and delivery charges ` 250
	Less: Trade discount @ 10%
March 25	Purchased from Jemini & Sons, Chennai
	2 typewriters @ ` 7,750 for office use